

together to fight common challenges. It was not just the social distancing rule that required seating in public spaces and transport to be spaced out. Locked-up consumers were getting addicted to OTT content being streamed to their devices.

Ravaged by closed halls and then sparse attendance, the multiplexes now faced OTT as significant competition. Sheer logic made the merger eminently sensible. PVR-Inox would have over 1,500 screens across 110 cities and dominate film distribution and exhibition.

Kanabar says, “Both the entrepreneurs had to deal with questions on the operating structure post-merger, final shareholding apart from tax and regulatory considerations. Dhruva played a crucial role in bringing about a convergence on the logical way to govern the merged entity.”

Today, PVR-Inox is the largest player by far, with revenues growing from ₹750 crore in FY21 to just under ₹6,300 crore in FY24.

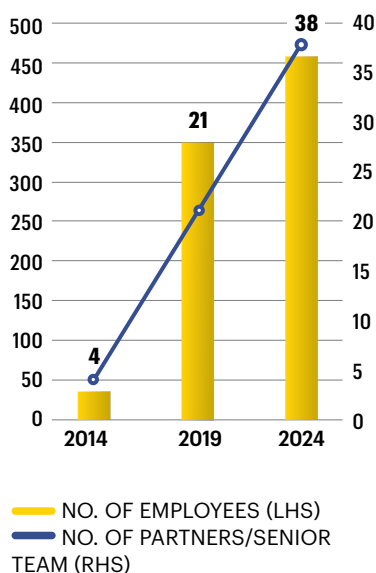
Siddharth Jain, Executive Director of Inox Group, thinks advice from Dhruva is holistic, considering all constituents. This part becomes critical in an M&A scenario since its success often comes down to viewing the issue from multiple perspectives—not just strategic but also taxation and regulation.

“The tax regime is always challenging, and to navigate it, one needs advisors with deep experience and the ability to blend technical and commercial perspectives. For us, Dhruva comes with domain expertise and advises us based on the commercial ground reality,” he says.

Other prominent transactions include the HDFC-HDFC Bank merger and Adani’s buyout of SB Energy Holdings (see chart ‘Big Deals’). Easily, the one that tops the list is the mega HDFC-HDFC Bank merger.

DHRUVA’S JOURNEY

• From the start-up stage, Dhruva has bolstered its staff strength across key areas • The team sits across cities and that helps in dealing with a larger clientele



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Announced in April 2022, it became effective on July 1, 2023. This \$40 billion all-stock deal created a financial powerhouse with over ₹18 lakh crore combined assets and a market capitalisation of \$154 billion (Today, it is \$165 billion). Kanabar says the merger was unique because different regulators governed multiple entities.

“It had to be structured so that one could anticipate the concerns from regulators and tax authorities, without which approvals would be a challenge. While a large part of the heavy lifting was done in-house by the client, Dhruva was the sounding board in evolving the right structure,” Kanabar says.

Vishal Mahadevia, Warburg Pincus’ MD & Head of Asia Private Equity, says Dhruva’s biggest advantage is as “a home-grown firm, it can foresee challenges on the tax front. They can blend their deep understanding of the tax system in India with our global presence”. To him, it is about someone who understands his company’s ethos and ensures it is “fully compliant with the law and implements transactions seamlessly.”

Mahadevia says Warburg Pincus “always looks up to Dhruva for advising and implementing practical solutions, which helps us move forward smoothly and swiftly during any complex situation.”

Punit Shah, a Partner at Dhruva, points out that his pitch to clients is often around distinguishing it from the Big Four. “I always say our practice is evenly split between tax advisory and tax litigation. It sounds simple, but it is hard to find such a fair mix in any other firm.” The way Dhruva is structured means it is a partner-led service (Kanabar repeatedly speaks of how he wanted the organisation’s culture to be devoid of hierarchy). Shah says, “We all get together and try to find a solution.”

When that prevails, it also facilitates a flow of new ideas. An example is to look at the family office as an opportunity. “One must understand there are multi-jurisdiction issues at play. You could have family members living overseas, and that makes understanding of taxes in those countries mandatory,” says Vaibhav Gupta, another Partner. It calls for a specialist, and this is something Dhruva has pursued. “Today, we deal with clients in Kochi, Coimbatore, Jaipur or Ludhiana. That’s how large the opportunity is,” Gupta says.

STEPPING OUT

The decision to go outside India for